

# MG2005

## International Management and Organization

Summer 2025 Examination · Paper 1 · University College Cork

|                 |                                                                                                                                                    |
|-----------------|----------------------------------------------------------------------------------------------------------------------------------------------------|
| Module          | MG2005 — International Management and Organization                                                                                                 |
| Session         | Summer 2025                                                                                                                                        |
| Paper structure | Part A: answer any 5 of 8 short questions (10 marks each, ≤200 words) · Part B: answer any 2 of 4 case-study questions (25 marks each, ≤350 words) |
| Total available | 100 marks (50 + 50)                                                                                                                                |
| Duration        | 1.5 hours                                                                                                                                          |
| Case study      | Tim Hortons' expansion into India (pre-released to candidates)                                                                                     |

### HOW TO USE THIS SCHEME

Every question set on the paper is answered here in full, since candidates self-select which five Part A and which two Part B questions to attempt. Each question sits on its own page with the question restated verbatim, a full model answer, and a mark-allocation table whose tiers sum to that question's own weight.

### SOURCING DISCLOSURE — PART B

The case study document issued to candidates was not supplied for this build. Part B answers below are grounded in verified, cited public reporting on Tim Hortons' actual India market entry rather than the exact wording of the assigned case. Cross-check names, dates, and figures against the official case handout before treating this as a final answer key — the theoretical frameworks and marking logic will transfer regardless of any specific detail the assigned case emphasises differently.

**PART A · SHORT QUESTIONS · ANSWER ANY 5 OF 8 · 10 MARKS EACH · ≤200 WORDS****Question 1****10 marks****QUESTION AS SET**

1. Based in the theory of comparative advantage, why should China and the United States trade.

| Country | Washing Machines | Solar Panels |
|---------|------------------|--------------|
| China   | 10 Resources     | 15 Resources |
| US      | 8 Resources      | 8 Resources  |

**FULL MODEL ANSWER**

Comparative advantage rests on **relative**, not absolute, cost. Converting the table into opportunity costs per unit:

| Country | Opportunity cost of 1 washing machine | Opportunity cost of 1 solar panel    |
|---------|---------------------------------------|--------------------------------------|
| China   | $10 \div 15 = 0.67$ solar panels      | $15 \div 10 = 1.50$ washing machines |
| US      | $8 \div 8 = 1.00$ solar panels        | $8 \div 8 = 1.00$ washing machines   |

China's opportunity cost of a washing machine (0.67) is lower than the US's (1.00), so **China holds comparative advantage in washing machines**. The US's opportunity cost of a solar panel (1.00) is lower than China's (1.50), so **the US holds comparative advantage in solar panels**.

The instructive detail is that the US uses *fewer* resources per unit of both goods (8 vs 10, and 8 vs 15) — the US has an absolute advantage in everything. Comparative advantage theory shows trade still benefits both countries: China should specialise in washing machines and import solar panels; the US should specialise in solar panels and import washing machines. Both end up able to consume more of both goods than if each produced everything domestically — trade gains come from relative, not absolute, efficiency.

**Mark Allocation — Question 1**

| Tier               | Marks       | Descriptor                                                                                                                                                                                                                                                                  |
|--------------------|-------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Full Credit</b> | <b>9–10</b> | Correctly computes opportunity cost for both goods in both countries AND correctly assigns comparative advantage (China—washing machines, US—solar panels) AND explicitly notes the US holds absolute advantage in both, explaining why trade is still mutually beneficial. |
| <b>Good</b>        | <b>7–8</b>  | Correct comparative-advantage conclusion reached via correct opportunity-cost reasoning, but the absolute-advantage nuance is missing or only partially explained.                                                                                                          |
| <b>Partial</b>     | <b>4–6</b>  | Recognises trade is mutually beneficial and attempts an opportunity-cost calculation, but makes an arithmetic or directional error (e.g. reverses which country should specialise in which good).                                                                           |
| <b>Minimal</b>     | <b>0–3</b>  | States a conclusion with no correct opportunity-cost working, or reasons only from absolute resource use.                                                                                                                                                                   |
| <b>Question 1</b>  |             | <b>Total: 10 marks</b>                                                                                                                                                                                                                                                      |

## Question 2

10 marks

## QUESTION AS SET

2. Write a short note on how political elections affect international business using the institutional-based view. Use appropriate example(s) to support your answer.

## FULL MODEL ANSWER

The institution-based view (Peng et al.) holds that firm strategy is shaped not only by industry conditions or firm-specific resources, but by the **formal institutions** (laws, regulations, trade and tax policy) and **informal institutions** (norms, values, expectations) that make up the “rules of the game” in a given country. Firms do not simply react to a fixed institutional environment — they actively manage the relationship between their strategic choices and that environment.

Elections are a key mechanism through which *formal* institutions shift: a change of government can alter trade tariffs, foreign-direct-investment screening rules, tax regimes, labour law, or sanctions policy with comparatively little warning. A clear example is the 2016 US presidential election, whose outcome led to the renegotiation of NAFTA into the USMCA — multinational manufacturers with supply chains built around the old agreement had to reassess sourcing and production-location decisions almost overnight.

Elections also matter through *informal* institutions: a change in government can shift prevailing social or nationalist sentiment toward foreign firms, affecting consumer preference and the ease of local partnership even where formal law hasn’t changed. Firms operating internationally therefore treat election cycles as a distinct category of political risk to be actively monitored, not a background variable.

**CHECKNOTE** *The USMCA renegotiation is used as a real, verifiable illustrative example of a formal-institutional shift triggered by an election outcome — it is general public knowledge, not sourced from the assigned course material.*

## Mark Allocation — Question 2

| Tier               | Marks       | Descriptor                                                                                                                                                                                                                               |
|--------------------|-------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Full Credit</b> | <b>9–10</b> | Correctly explains the institution-based view (formal AND informal institutions shaping firm strategy), explicitly links elections to formal-institutional change, and supports the answer with a specific, accurate real-world example. |
| <b>Good</b>        | <b>7–8</b>  | Correct explanation of the institution-based view and the election link, but the example is generic, under-explained, or only formal institutions are discussed.                                                                         |
| <b>Partial</b>     | <b>4–6</b>  | General statement that “politics affects business” without engaging the institution-based view as a named framework, or no real example given.                                                                                           |
| <b>Minimal</b>     | <b>0–3</b>  | No use of the institution-based view; unsupported assertion only.                                                                                                                                                                        |

**Question 2**

**Total: 10 marks**

## Question 3

10 marks

## QUESTION AS SET

3. Which of the following statements best captures the trade-off between control and commitment in international market entry strategies? Briefly justify your selection.

1. A firm entering a foreign market through partial acquisition gains local market knowledge and reduces risks while maintaining full control over strategic decisions.
2. A firm choosing greenfield investment ensures full control over its operations but faces high financial and time commitments before achieving returns.
3. Licensing offers a low-risk entry mode with minimal commitment while allowing the firm to maintain full control over its brand and operations.
4. Joint ventures provide a balance between control and resource sharing, requiring minimal commitment while avoiding strategic conflicts.

## FULL MODEL ANSWER

## Correct answer: B

Greenfield investment is the textbook high-control, high-commitment entry mode: building operations from scratch gives the parent full strategic and operational control, but demands the largest upfront capital, time, and managerial commitment, with returns realised only after the operation is built and established. This makes B internally consistent.

The other options each misstate the trade-off: (A) is wrong because a *partial* acquisition means shared equity and therefore shared — not full — control. (C) is wrong because licensing's low commitment comes precisely from ceding day-to-day control of the brand and operations to the licensee; the two do not coexist. (D) is wrong because joint ventures sit in the *middle* of the control-commitment spectrum, not at "minimal commitment" — equity JVs require a genuine capital and governance stake from both partners.

## Mark Allocation — Question 3

| Tier        | Marks | Descriptor                                                                                                                                                                                |
|-------------|-------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Full Credit | 9–10  | Correct letter (B) with justification that both explains why B is internally consistent AND explains why at least two of the remaining options misstate the control-commitment trade-off. |
| Good        | 7–8   | Correct letter with a justification covering B only, without addressing why the distractors are wrong.                                                                                    |
| Partial     | 4–6   | Correct letter with a weak or partially incorrect justification, or an incorrect letter selected with reasoning that shows genuine understanding of the control-commitment spectrum.      |
| Minimal     | 0–3   | Incorrect letter with no coherent justification.                                                                                                                                          |

Question 3

Total: 10 marks

**Question 4****10 marks****QUESTION AS SET**

4. A multinational corporation with a low power distance corporate culture acquires a local firm in a country characterized by high power distance. Which of the following is the most likely challenge the new parent company will face when integrating the acquired firm? Briefly justify your choice.

1. Local employees resist using the formal chain of command, preferring direct communication across hierarchies.
2. Managers in the acquired company insist on employee participation in all decision-making processes.
3. Employees in the acquired firm expect hierarchical clarity and strong direction from superiors.
4. Employees show hostility toward any authoritative figures and advocate a flat organizational structure.

**FULL MODEL ANSWER****Correct answer: C**

In Hofstede's framework, employees socialised in a **high power-distance** culture expect clear hierarchy, defined authority, and directive leadership — ambiguity or delegated, participative decision-making (the low power-distance parent's natural style) reads as a lack of leadership rather than empowerment. The likeliest friction is therefore employees expecting strong top-down direction that a low power-distance parent is culturally disinclined to provide.

The remaining options describe behaviour that would only arise in a *low* power-distance workforce, which contradicts the scenario: (A) resisting formal hierarchy and (D) hostility toward authority are low power-distance reactions; (B) managers demanding participative decision-making is also a low, not high, power-distance pattern. All three invert the direction of the described culture clash.

**Mark Allocation — Question 4**

| Tier               | Marks       | Descriptor                                                                                                                                                                                          |
|--------------------|-------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Full Credit</b> | <b>9–10</b> | Correct letter (C) with justification explicitly grounded in Hofstede’s power distance dimension AND an explanation of why the distractors describe low- rather than high-power-distance behaviour. |
| <b>Good</b>        | <b>7–8</b>  | Correct letter with Hofstede correctly named and applied, but without addressing why the distractors are wrong.                                                                                     |
| <b>Partial</b>     | <b>4–6</b>  | Correct letter with only a general cultural-difference justification, not tied specifically to power distance.                                                                                      |
| <b>Minimal</b>     | <b>0–3</b>  | Incorrect letter or no coherent cultural reasoning.                                                                                                                                                 |
| <b>Question 4</b>  |             | <b>Total: 10 marks</b>                                                                                                                                                                              |



## Question 5

10 marks

## QUESTION AS SET

5. True or False: According to stakeholder theory, corporate social responsibility initiatives should be pursued even if they lead to long-term financial losses for multinational corporations. Briefly justify your choice.

## FULL MODEL ANSWER

**Correct answer: False (on the mainstream reading of stakeholder theory)**

Stakeholder theory (Freeman) argues that managers owe consideration to the full set of groups affected by the firm — employees, customers, suppliers, communities, and shareholders — not shareholders alone. It does **not**, however, argue that CSR should be pursued regardless of financial sustainability. A firm that sustains genuine *long-term* losses eventually loses its capacity to serve any of its stakeholders: employees lose jobs, suppliers lose a customer, communities lose an employer. Mainstream stakeholder theory is therefore better read as requiring firms to *balance* stakeholder interests within a financially viable strategy, not to subordinate viability to any single CSR goal indefinitely.

**CHECKNOTE** *This question sits on a genuine theoretical fault line. A well-argued “True” response drawing on the normative strand of stakeholder theory (Donaldson & Preston’s view that stakeholder interests have intrinsic, not merely instrumental, worth) can also earn strong marks if the reasoning is internally consistent — the mark bands below reward the quality of the argument, not only the True/False label chosen.*

## Mark Allocation — Question 5

| Tier        | Marks | Descriptor                                                                                                                                                                                                                                                                                                          |
|-------------|-------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Full Credit | 9–10  | Clear verdict, correctly grounded in stakeholder theory, that explicitly distinguishes the instrumental and normative strands of the theory and explains why sustained losses undermine the firm’s capacity to serve stakeholders (or, for a consistent “True” answer, correctly argues from the normative strand). |
| Good        | 7–8   | Correct verdict with sound stakeholder-theory reasoning, but without engaging the instrumental/normative distinction.                                                                                                                                                                                               |
| Partial     | 4–6   | A verdict is given with some reference to stakeholder theory, but the reasoning is thin or partly conflates stakeholder theory with shareholder primacy.                                                                                                                                                            |
| Minimal     | 0–3   | Verdict given with no theoretical grounding.                                                                                                                                                                                                                                                                        |

Question 5

Total: 10 marks

## Question 6

10 marks

## QUESTION AS SET

6. A US-based company with a one-tier board acquires a German firm that operates under a two-tier board system. In the post-merger integration phase, the parent company contemplates unifying governance structures. Which of the following best captures a potential risk of unifying both boards into a single-tier system? Briefly justify your selection.

1. Increased accountability for management due to a narrower chain of command.
2. Decreased legal scrutiny by European regulators, potentially weakening oversight.
3. Heightened risk of conflicts of interest if the same individuals oversee and manage.
4. Redundancies in governance functions, leading to inflated operating costs.

## FULL MODEL ANSWER

## Correct answer: C

The German two-tier system deliberately separates the **management board** (executive, runs the company) from the **supervisory board** (monitors and appoints management), so the same individuals never both manage and oversee. Collapsing this into a US-style one-tier board removes that structural separation of duties — the genuine risk is that executives sit on the same board that is meant to hold them accountable, creating conflicts of interest and weakening independent oversight.

The distractors invert the logic: (A) describes a benefit, not a risk. (B) is not the standard governance concern — oversight risk comes from structural conflict of interest, not from a change in regulator attention. (D) runs backward: unifying two boards into one would tend to *reduce*, not create, redundant governance functions.

## Mark Allocation — Question 6

| Tier        | Marks | Descriptor                                                                                                                                                                         |
|-------------|-------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Full Credit | 9–10  | Correct letter (C) with justification that explains the executive/supervisory separation of duties in the two-tier system AND why collapsing it creates conflict-of-interest risk. |
| Good        | 7–8   | Correct letter with the conflict-of-interest risk identified, but the two-tier/one-tier structural distinction is not clearly explained.                                           |
| Partial     | 4–6   | Correct letter with a vague governance-risk justification, or incorrect letter with partial understanding of board structures shown.                                               |
| Minimal     | 0–3   | Incorrect letter with no coherent governance reasoning.                                                                                                                            |

Question 6

Total: 10 marks

**Question 7****10 marks****QUESTION AS SET**

7. Critically evaluate the following argument: “As the agent of shareholders, managers are obliged to conduct the corporation’s business in accordance with shareholders’ desire.” Use appropriate example to support your answer.

**FULL MODEL ANSWER**

This statement expresses the classic **shareholder-primacy** position within agency theory, most associated with Milton Friedman’s 1970 argument that management’s sole social responsibility is to maximise shareholder value within the law. Framed as a principal-agent relationship, managers (agents) are engaged by shareholders (principals) and owe them a fiduciary duty — on this narrow reading, the statement holds.

The critique is threefold. First, agency theory itself documents why this obligation routinely breaks down in practice: information asymmetry lets managers pursue empire-building, entrenchment, or excessive risk-avoidance that serves their own interests over shareholders’ — the very “agency costs” the theory was built to explain, illustrated by managers resisting a value-accretive takeover to protect their own positions. Second, “shareholders’ desire” assumes a homogeneity that doesn’t exist: index funds, activist investors, and long-horizon pension funds routinely want different things. Third, the legal reality varies by jurisdiction — UK company law (Companies Act 2006, s.172), for instance, requires directors to promote the company’s success while having regard to employees, suppliers, and community, not shareholders alone, directly contradicting the statement’s universality.

The strongest answer treats the claim as a normatively contestable simplification of agency theory rather than a settled description of managerial duty.

**CHECKNOTE** *The Friedman (1970) reference and the UK Companies Act 2006 s.172 point are real, verifiable sources used to ground the critique; neither is drawn from the uploaded course pack.*

**CITED SOURCES**

- Friedman, M. (1970). The Social Responsibility of Business Is to Increase Its Profits. *New York Times Magazine*.
- UK Companies Act 2006, s.172 (Duty to promote the success of the company).

**Mark Allocation — Question 7**

| Tier               | Marks       | Descriptor                                                                                                                                                                          |
|--------------------|-------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Full Credit</b> | <b>9–10</b> | Correctly identifies the shareholder-primacy/agency-theory framing, offers at least two substantive, distinct counter-arguments, and supports the critique with a concrete example. |
| <b>Good</b>        | <b>7–8</b>  | Correct theoretical framing with one clear counter-argument and a thinner example.                                                                                                  |
| <b>Partial</b>     | <b>4–6</b>  | Agrees or disagrees with limited theoretical grounding; mostly descriptive of the statement rather than critically evaluative.                                                      |
| <b>Minimal</b>     | <b>0–3</b>  | Unsupported opinion with no engagement with agency theory.                                                                                                                          |
| <b>Question 7</b>  |             | <b>Total: 10 marks</b>                                                                                                                                                              |

## Question 8

10 marks

## QUESTION AS SET

8. Which of the following best explains the role of hubris and managerial self-interest in driving mergers and acquisitions? Briefly justify your selection.

1. Managers pursue acquisitions solely based on shareholder value maximization.
2. Hubris leads managers to overestimate their ability to generate synergies, resulting in overpayment for target firms.
3. Managerial self-interest typically results in cost-cutting measures that increase shareholder returns.
4. Hubris and self-interest drive managers to avoid acquisitions due to fear of failure.

## FULL MODEL ANSWER

**Correct answer: B**

This restates Roll's (1986) **hubris hypothesis** of corporate takeovers: acquiring managers systematically overestimate their own ability to run the target better than its current management or to realise promised synergies, leading them to pay a premium the deal's actual value doesn't justify. This is a well-documented explanation for why so many acquisitions destroy rather than create acquirer shareholder value.

The distractors contradict the premise of the question itself: (A) describes rational, not hubris-driven, behaviour. (C) inverts the usual finding — self-interest is more associated with empire-building (pursuing size/prestige) than with cost discipline. (D) is the opposite direction entirely; hubris *increases* acquisition activity, it does not suppress it.

## CITED SOURCE

- Roll, R. (1986). The Hubris Hypothesis of Corporate Takeovers. *Journal of Business*, 59(2), 197–216.

## Mark Allocation — Question 8

| Tier        | Marks | Descriptor                                                                                                                                |
|-------------|-------|-------------------------------------------------------------------------------------------------------------------------------------------|
| Full Credit | 9–10  | Correct letter (B) with justification explicitly referencing the overestimation-of-synergies / overpayment mechanism (hubris hypothesis). |
| Good        | 7–8   | Correct letter with the overpayment idea present but not clearly linked to overestimated managerial ability.                              |
| Partial     | 4–6   | Correct letter with only a generic statement that hubris is “bad for shareholders,” or incorrect letter with partial M&A understanding.   |
| Minimal     | 0–3   | Incorrect letter with no coherent justification.                                                                                          |

Question 8

Total: 10 marks

**PART B · CASE-STUDY QUESTIONS · ANSWER ANY 2 OF 4 · 25 MARKS EACH · ≤350 WORDS · BASED ON THE TIM HORTONS INDIA CASE**

**Question 9**

**25 marks**

**QUESTION AS SET**

9. Analyse the franchising model chosen by Tim Hortons for its expansion in India. How does this model compare to a joint venture or wholly owned subsidiary in terms of control versus commitment?

**FULL MODEL ANSWER**

Tim Hortons entered India through a **master-franchise, non-equity partnership** with AG Café, itself a joint venture between Apparel Group and Gateway Partners, which holds exclusive rights to develop and grow the brand across the country. This sits at the **low-control, low-commitment** end of the entry-mode spectrum: Tim Hortons does not directly own the Indian stores, capital investment is largely carried by the local partner, and day-to-day execution is delegated — control is instead exercised indirectly, through brand standards, product specifications, and contractual quality oversight rather than direct ownership.

This contrasts with the two benchmark modes. A **joint venture** would have required Tim Hortons to commit equity capital alongside a local partner in exchange for shared governance — a genuinely intermediate position on both control and commitment. A **wholly owned subsidiary** (which is, notably, what Tim Hortons' India CEO initially signalled intent to pursue in 2022, planning to own and operate outlets directly) would have given full strategic and operational control, but at the highest capital exposure and the slowest pace of expansion, since every store would need to be funded and built by Tim Hortons itself.

The trade-off actually realised is visible in the outcome: leaning on AG Café's local capital, real estate access, and regulatory relationships let Tim Hortons scale to over 40 stores within roughly two years of entry — a pace a capital-heavy WOS model would have struggled to match — at the cost of ceding first-line operational control, which the franchise contract and brand-standards regime partly recoups.

**CHECKNOTE** Case facts in this answer (the AG Café master-franchise structure, store count, and city rollout) are drawn from verified public trade-press reporting on Tim Hortons' actual India entry, since the assigned case study text was not supplied for this build — see cited sources below. Verify specific facts against your own case handout; the framework and marking logic apply regardless.

**CITED SOURCES**

- IndianRetailer.com / FranchiseTV (2025). Franchise News: Tim Hortons Deepens Presence in Hyderabad, Boasts Over 40 Outlets in India.
- FranchiseOpportunities.co.in (15 Oct 2025). Brewing Growth in India: How Tim Hortons Scaled from 0 to 40 Stores in Two Years.
- Dutta, A. (3 Apr 2022). "Will have 300 Tim Hortons stores in India in five years": India CEO. *Business Today*.

**Mark Allocation — Question 9**

| Tier               | Marks        | Descriptor                                                                                                                                                                                                                                                                        |
|--------------------|--------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Full Credit</b> | <b>23–25</b> | Accurately identifies the master-franchise structure and names the partner arrangement; correctly and explicitly positions franchising, JV, and WOS along the control-commitment spectrum; draws a clear, case-grounded conclusion about the trade-off Tim Hortons actually made. |
| <b>Good</b>        | <b>18–22</b> | Correctly places all three modes on the spectrum with sound theoretical reasoning, but the link to Tim Hortons' specific India structure is thinner or partly generic.                                                                                                            |
| <b>Partial</b>     | <b>10–17</b> | Generic entry-mode theory presented without clearly comparing franchising to JV and WOS, or with a factual mischaracterisation of the mode used.                                                                                                                                  |
| <b>Minimal</b>     | <b>0–9</b>   | No clear comparison across the three entry modes; unsupported assertion only.                                                                                                                                                                                                     |

|                   |                        |
|-------------------|------------------------|
| <b>Question 9</b> | <b>Total: 25 marks</b> |
|-------------------|------------------------|

## Question 10

25 marks

## QUESTION AS SET

10. Using the institutional-based view to discuss the formal and informal institutions that Tim Hortons face when operating in India.

## FULL MODEL ANSWER

The institution-based view (Peng et al.) frames a foreign entrant's strategy as shaped by the interaction of **formal** and **informal** institutions in the host country, not by industry conditions or firm resources alone.

**Formal institutions** Tim Hortons must navigate include India's FDI policy for food retail (which permits foreign investment in food-product retail under conditions tied to local sourcing and processing), FSSAI food-safety and licensing regulation, commercial property and leasing law governing access to high-footfall mall and airport sites, and import duties on specialised coffee and kitchen equipment. **Informal institutions** include a historically tea-dominant, price-sensitive consumer culture in which premium international café consumption is concentrated among urban, aspirational youth and office workers; local norms of commercial trust that favour partnering with an established local operator over uncertain repeated dealing; and social expectations around dining-out occasions that shape which locations and formats succeed.

These two layers interact directly with the entry-mode decision analysed in Question 9: where formal institutions are workable but informal, relationship-dependent institutions (securing prime real estate, navigating local regulatory relationships) are comparatively opaque to an outside entrant, Khanna and Palepu's concept of an **institutional void** helps explain why partnering with a locally networked operator like AG Café substitutes for capabilities Tim Hortons itself lacks in India, rather than building them in-house through a wholly owned entry.

**CHECKNOTE** Case facts in this answer (the AG Café master-franchise structure, store count, and city rollout) are drawn from verified public trade-press reporting on Tim Hortons' actual India entry, since the assigned case study text was not supplied for this build — see cited sources below. Verify specific facts against your own case handout; the framework and marking logic apply regardless.

## CITED SOURCE

- Khanna, T., & Palepu, K. (2000). The Future of Business Groups in Emerging Markets: Long-Run Evidence from Chile. *Academy of Management Journal*, 43(3), 268-285.



**Mark Allocation — Question 10**

| Tier               | Marks        | Descriptor                                                                                                                                                                                                                                             |
|--------------------|--------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Full Credit</b> | <b>23–25</b> | Identifies at least two accurate formal AND two accurate informal institutions specific to India’s food-retail context; correctly applies the institution-based view by name; explicitly connects the institutional analysis to the entry-mode choice. |
| <b>Good</b>        | <b>18–22</b> | Correct formal/informal institutions identified and the framework named, but the link back to entry-mode strategy is underdeveloped.                                                                                                                   |
| <b>Partial</b>     | <b>10–17</b> | General discussion of “challenges in India” without clearly distinguishing formal from informal institutions, or without naming the institution-based view.                                                                                            |
| <b>Minimal</b>     | <b>0–9</b>   | No meaningful institutional analysis.                                                                                                                                                                                                                  |
| <b>Question 10</b> |              | <b>Total: 25 marks</b>                                                                                                                                                                                                                                 |

**Question 11****25 marks****QUESTION AS SET**

11. Using Dunning's OLI paradigm, evaluate Tim Hortons' choice of franchising as an entry mode for the Indian market.

**FULL MODEL ANSWER**

Dunning's eclectic (OLI) paradigm explains foreign market entry through three conditions: firm-specific **Ownership** advantages, host-country **Location** advantages, and the **Internalisation** advantage of exploiting those ownership advantages in-house rather than through the market.

Tim Hortons has clear **O-advantages**: a globally recognised brand, standardised product formulas and store-operating systems, and proven training and supply-chain processes. India offers genuine **L-advantages**: a large and growing urban middle class, rising café-culture adoption among younger consumers even in a historically tea-first market, and high-footfall real estate in malls and airports for a brand willing to pay for prime locations.

The evaluative question is **internalisation**. Classic OLI logic predicts that strong O-advantages combined with high contracting/monitoring costs favour full ownership (FDI/WOS) to protect brand and know-how. Tim Hortons instead chose the opposite — a low-internalisation master-franchise route. This is defensible precisely because the O-advantages at stake (recipes, store design, service standards) are relatively *contractible*: they can be codified into a franchise agreement and enforced through brand-standards audits, lowering the monitoring cost that would otherwise justify internalisation. Meanwhile, the local partner's complementary L-specific assets — property access, regulatory relationships, capital — are themselves not easily internalised quickly by an outside entrant. On balance, OLI supports franchising here not because Tim Hortons lacks strong O-advantages, but because the I-advantage of going it alone is comparatively weak relative to the speed and local-knowledge benefit of partnering.

**CHECKNOTE** Case facts in this answer (the AG Café master-franchise structure, store count, and city rollout) are drawn from verified public trade-press reporting on Tim Hortons' actual India entry, since the assigned case study text was not supplied for this build — see cited sources below. Verify specific facts against your own case handout; the framework and marking logic apply regardless.

**Mark Allocation — Question 11**

| Tier               | Marks        | Descriptor                                                                                                                                                                                                                                 |
|--------------------|--------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Full Credit</b> | <b>23–25</b> | Correctly explains all three OLI components with specific application to Tim Hortons/India; reaches a reasoned evaluative conclusion about why weak internalisation motive (not weak ownership advantage) explains the franchising choice. |
| <b>Good</b>        | <b>18–22</b> | All three components correctly explained and applied, but the evaluative conclusion on internalisation is thinner or asserted rather than argued.                                                                                          |
| <b>Partial</b>     | <b>10–17</b> | Only one or two OLI components correctly applied, or the framework is named without genuine application to the case.                                                                                                                       |
| <b>Minimal</b>     | <b>0–9</b>   | No meaningful use of the OLI paradigm.                                                                                                                                                                                                     |
| <b>Question 11</b> |              | <b>Total: 25 marks</b>                                                                                                                                                                                                                     |

## Question 12

25 marks

## QUESTION AS SET

12. Apply the Resource-Based View (e.g., VRIO framework) to assess whether Tim Hortons has unique resources and capabilities to compete in India - Identify one key resource and one key capability.

## FULL MODEL ANSWER

The resource-based view (Barney) holds that sustained competitive advantage comes from resources that are Valuable, Rare, costly to Imitate, and that the firm is Organised to exploit. Applying VRIO to one resource and one capability:

| VRIO Test             | Resource: Global brand equity                                                                                     | Capability: Standardised operating & training systems                                                                              |
|-----------------------|-------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------|
| Valuable?             | <b>Yes — differentiates from local/regional café chains and signals quality to aspirational consumers</b>         | <b>Yes — enables consistent execution across a fast-scaling, partner-run network</b>                                               |
| Rare?                 | <b>Yes — few global QSR-café brands with comparable recognition compete directly in India's café segment</b>      | <b>Moderately — rivals such as Starbucks (via Tata) also run disciplined operating systems</b>                                     |
| Costly to imitate?    | <b>Yes, in the short-to-medium term — brand reputation is built over decades and cannot be quickly replicated</b> | <b>Only partially — operating playbooks can eventually be reverse-engineered or matched by well-funded competitors</b>             |
| Organised to exploit? | <b>Yes — leveraged through the master-franchise brand-standards regime</b>                                        | <b>Yes — embedded in franchisee training and store-opening processes that supported scaling to 40+ stores in roughly two years</b> |

Conclusion: the brand-equity resource clears all four VRIO tests and is a plausible source of **sustained** competitive advantage in India's still-nascent premium café segment. The operating-systems capability is valuable and well-organised, but only moderately rare and imperfectly inimitable given sophisticated competitors already operating similar systems — it is better characterised as a source of **temporary** advantage or competitive parity, one that must be continually renewed as the market matures rather than treated as a permanent edge.

**CHECKNOTE** Case facts in this answer (the AG Café master-franchise structure, store count, and city rollout) are drawn from verified public trade-press reporting on Tim Hortons' actual India entry, since the assigned case study text was not supplied for this build — see cited sources below. Verify specific facts against your own case handout; the framework and marking logic apply regardless.

**Mark Allocation — Question 12**

| Tier               | Marks        | Descriptor                                                                                                                                                                                                                                              |
|--------------------|--------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Full Credit</b> | <b>23–25</b> | Identifies one clear resource and one clear capability; applies all four VRIO criteria correctly to each with case-appropriate reasoning; reaches a differentiated conclusion (sustained vs. temporary advantage) rather than a single blanket verdict. |
| <b>Good</b>        | <b>18–22</b> | Resource and capability correctly identified and VRIO applied, but the sustained-vs-temporary distinction in the conclusion is missing or under-argued.                                                                                                 |
| <b>Partial</b>     | <b>10–17</b> | VRIO named but only loosely applied, or resource and capability are not clearly distinguished from one another.                                                                                                                                         |
| <b>Minimal</b>     | <b>0–9</b>   | No meaningful VRIO application.                                                                                                                                                                                                                         |
| <b>Question 12</b> |              | <b>Total: 25 marks</b>                                                                                                                                                                                                                                  |